

Janet, I though we signed a turnkey with NEPCO - there should not be any overruns to your P&L if that is the case.

Regards

Delainey

----- Forwarded by David W Delainey/HOU/ECT on 05/25/2000
06:47 PM -----

Janet R Dietrich

05/25/2000 08:30 AM

To: David W Delainey/HOU/ECT@ECT

cc:

Subject: Austin Implementation

Dave, since the ENA power desk will be receiving 100% of all earnings related to the City of Austin capacity, it's only appropriate that any cost overruns will be sent directly to their P/L. There isn't anything that leads me to believe there will be overruns, but you know how that goes with NEPCO and I want to be very clear up front that if something should occur, I have no ability to offset the cost with other Austin earnings.

I'd also like to set aside some time when we can talk thru several business items/issues. The teaser list is as follows: continuing internal noise between the desks and origination groups related to deals and primarily the P/L split (any maybe a few solutions), the followup and status and recommendations on the global LNG business and ENA's interest (I've had meetings with Doug Rotenburg, Vince Kiminski, others, and new info from our Duke meeting), status of Chicago office, clarification on leftover items from Columbia acquisition last year, employee hiring/contracts, etc.

Maybe we can get together this afternoon or tomorrow. How about the status of the FP&L meeting with Jim Broadhead?

----- Forwarded by Janet R Dietrich/HOU/ECT on 05/25/2000
08:03 AM -----

Janet R Dietrich

05/25/2000 08:04 AM

To: Jeffrey M Keenan/HOU/ECT@ECT, Ben Jacoby/HOU/ECT@ECT, Dean Dashwood/LON/ECT@ECT, Billy Lemmons/Corp/Enron@ENRON

cc:

Subject: Austin Implementation

Hey guys. I would like an outline of the City of Austin project as far as how this will be managed from ENA's standpoint. My understanding is that Jeff Keenan will be the Project Manager for ENA and will be entirely responsible for the implementation of all aspects to bring the plant to commercial operations. This would include schedule, permitting, interconnect agreements, managing NEPCO to the \$88.3 million total cost, etc. Everyone needs to realize that this team will realize a true loss on any overruns above the \$88.3 million. I've asked Tammy Shepherd to set up a budget, schedule and weekly distribution similarly to how we handled Doyle and the other projects. I'm assuming that this team is managing everything related to the Austin

project and is accountable for its successful implementation.

If we need to discuss anything related to the above, let me know. Thanks.